

The Math Behind Passing: Why This Strategy Works Over Time

Most traders fail because they think trading is about being right. It is not. It is about **surviving long enough for probability to work in your favor**. This video shows you the math behind why the strategy from Video 2 works — not sometimes, but consistently over time.

UNDERSTAND	SEE	REALIZE	COMMIT
Why the strategy works mathematically	Passing is probability not prediction	Consistency creates edge over time	Fully trust the system from Video 2

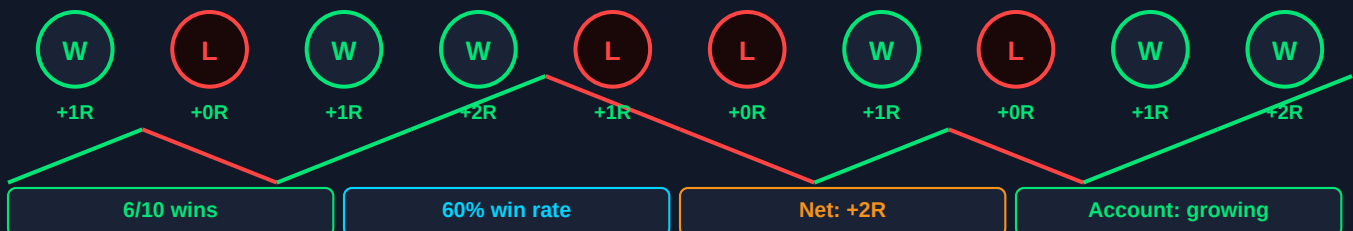
1

Trading Is a Probability Game

Every trade is a sample — outcomes are distributed, not predictable

No strategy wins every trade. No trader avoids losing streaks. This is not a flaw — it is mathematics. **You do not control outcomes. You control probabilities.** Understanding this single idea changes everything about how you execute.

WHAT 55% WIN RATE LOOKS LIKE OVER 10 TRADES AT 1:1 R:R



You don't control outcomes. You control probabilities.

2

Expected Value — The Only Number That Matters

Positive EV means you grow over time. Period.

Expected Value is the average result per trade if you ran the trade thousands of times. You do not need a huge edge. You need a **consistent one**. A 55% win rate at 1:1 risk reward creates a small but real positive EV. Run that over 100, 200, 500 trades — and the math compounds.

EXPECTED VALUE — THE ONLY MATH THAT MATTERS

$$55\% \times +1R - 45\% \times -1R = +0.1R$$

Win Rate

Avg Win

Loss Rate

Avg Loss

Your Edge

Positive EV

Edge grows over time

→

Negative EV

Edge shrinks over time

You don't need a huge edge. You need a consistent one.

3

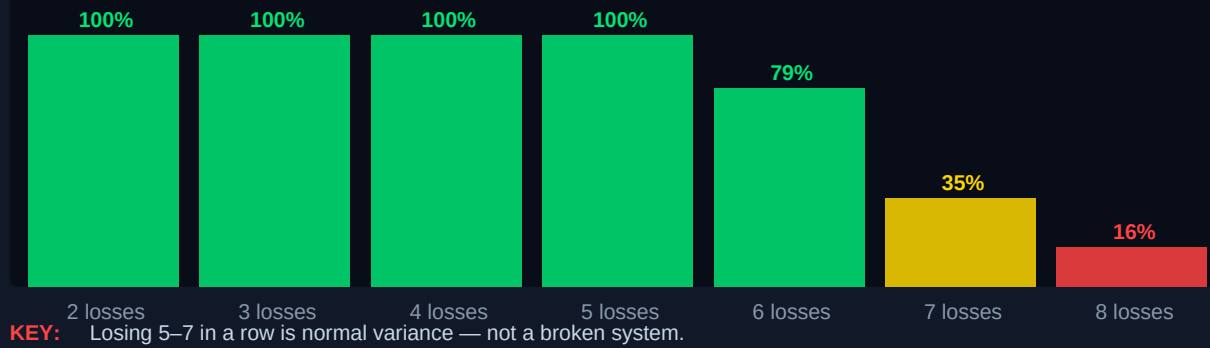
Losing Streaks Are Normal

Variance is not failure — it is expected statistical behaviour

Even with a 55% win rate, losing 5, 6, or 7 trades in a row is statistically normal. This is not your strategy breaking. **This is variance doing exactly what mathematics predicts.** The question is not whether a losing streak will happen — it will. The question is whether your risk sizing lets you survive it.

LOSING STREAK PROBABILITY — 55% WIN RATE, 100 TRADES

EXPECTED OCCURRENCES IN 100 TRADES



The system is not broken because you lost multiple trades in a row.

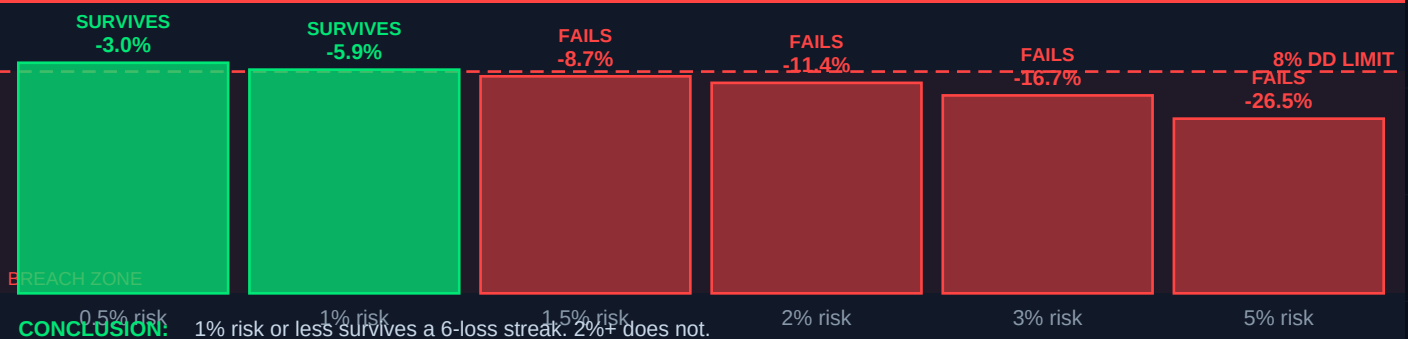
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Risk Size Determines Survival

Same strategy. Same losing streak. Different outcome — because of risk.

Two traders run the exact same strategy. Both hit a 6-loss streak. The trader risking 1% survives with manageable drawdown. The trader risking 2% hits the account limit and fails. **The strategy did not fail. The risk management failed.**

RISK % VS SURVIVAL — WHAT HAPPENS AFTER 6 CONSECUTIVE LOSSES



Your risk determines whether variance kills you or you survive it.

5

The Power of Survival

The edge only works if you stay in the game long enough

TRADER A — Oversizes

2% risk per trade
Hits 6-loss streak
Account at -12%
Fails challenge
Never reaches +EV

THE DIFFERENCE

Same strategy.
Same losing streak.
Different risk.
Different outcome.

TRADER B — Survives

1% risk per trade
Same 6-loss streak
Account at -5.8%
Continues executing
Edge plays out over time

The edge only works if you stay in the game.

6

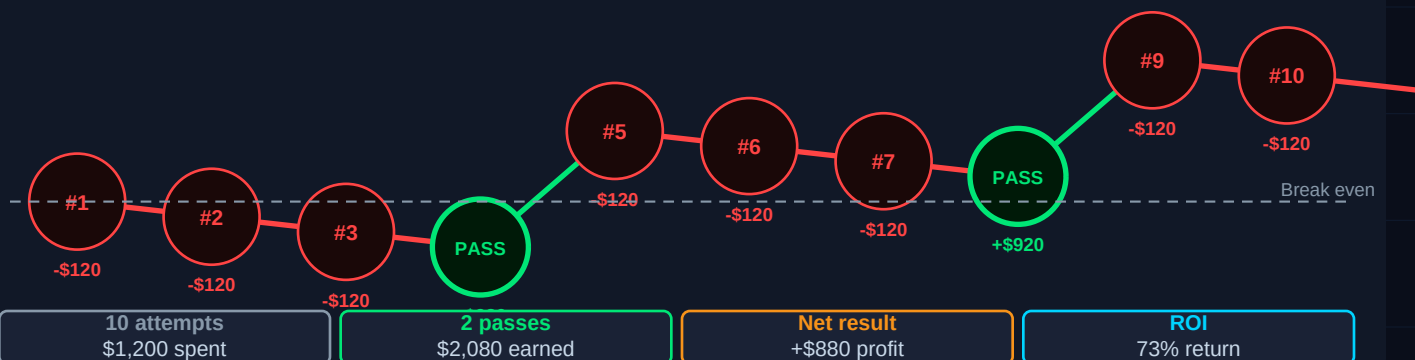
The Math Over Multiple Attempts

You don't need perfection. You need positive outcomes over time.

Video 1 introduced the numbers game concept. Here is the math in full. 10 attempts, \$120 each, 2 passes.

The math does not require a high pass rate — it requires that you stay in the system long enough to capture the passes.

MULTIPLE ATTEMPTS — THE MATH COMPOUNDS IN YOUR FAVOR



7

Why Most Traders Never Reach the Profitable Part

They exit the system before the math has time to work

The cycle is always the same. Risk too much. Hit normal variance. Blow the account. Blame the strategy. Change systems. Repeat. **They never stay in any system long enough to reach the part where it pays off.**

WHY MOST TRADERS NEVER REACH THE PROFITABLE PART



8

The Real Edge

It is not what most traders think it is

There is no secret. The traders who win consistently are not smarter. They do not have a better indicator. They do not have a hidden strategy. **They simply do not remove themselves from the game.**

THE EDGE IS NOT...

- A secret strategy
- A perfect entry signal
- A special indicator
- Being right every trade

THE EDGE IS...

- Controlled risk per trade
- Consistent execution every day
- Surviving long enough
- Letting probability work for you

The traders who win are the ones who don't remove themselves from the game.

Once you understand this math...

You stop chasing outcomes. You stop trying to be perfect.

You focus on consistency, risk, and execution. Because now you know — if you follow the system, the math works in your favor.

— THE MATH MINDSET —

- 01** Trading is a probability game — I do not control outcomes, only probabilities
- 02** Losing streaks are normal variance — the system is not broken
- 03** My risk per trade determines whether I survive variance or get eliminated
- 04** The edge plays out over time — but only if I stay in the game
- 05** I do not need perfection — I need positive outcomes over multiple attempts
- 06** Consistency, risk, and execution — that is my edge

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Understand the math. Trust the process. Stay in the game.

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